

Q3 2024

Custom Managed Portfolios

Jarislowsky
Fraser

North American
Equity

Quick facts

Asset class:

North American Large Cap

Management style:

GARP¹

Number of holdings:

69

Sub-advisor:

Jarislowsky Fraser

Portfolio manager:

Aviso Wealth

Minimum investment:

\$150,000

Inception Date:

January 1, 1997



What does the strategy invest in?

This strategy focuses on long-term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign (mostly US) large capitalization equities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	7.63%	19.72%	31.12%	11.64%	12.66%	11.19%	10.06%
Benchmark ⁵	7.52%	21.21%	31.23%	12.20%	13.84%	11.93%	8.86%

Calendar year returns

	2023	2022	2021	2020	2019	2018	2017
Portfolio	24.09%	-13.06%	25.24%	8.16%	17.15%	0.92%	6.74%
Benchmark ⁵	17.14%	- 8.39%	26.40%	10.76%	23.88%	- 2.44%	11.47%

Standard deviation	6.90%	Sortino ratio	1.83	Downside capture	88%
Sharpe ratio	1.23	Beta (Equity)	0.71	Upside capture	68%

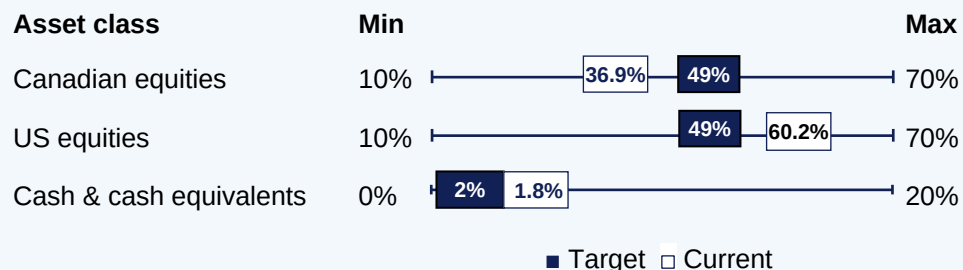
Largest holdings

1. MICROSOFT CORP	5.0%	6. BROOKFIELD CORP VTG CL A	2.7%
2. AMAZON.COM INC	3.7%	7. CDN NTL RAILWAY CO	2.6%
3. META PLATFORMS INC A	3.2%	8. BOSTON SCIENTIFIC CORP	2.4%
4. ALPHABET INC CL A	3.1%	9. MASTERCARD INCORPORATED	2.4%
5. UNITEDHEALTH GRP INC	2.8%	10. FISERV INC	2.2%

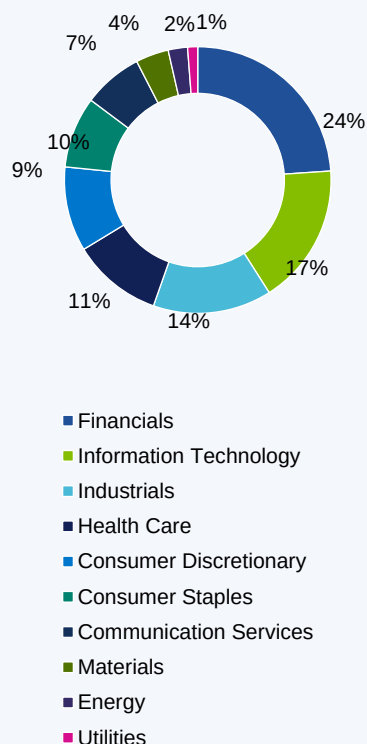
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
1.30%	40.30	22.91	4.90	5.05	\$423.74 B	26%

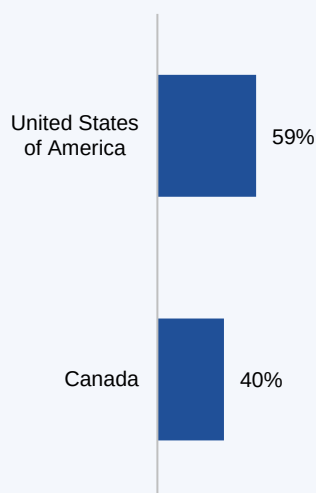
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

PORTFOLIO OBJECTIVE

Jarislowsky Fraser's North American Equity Portfolio is a diversified portfolio invested in Canadian and U.S. equities. The objective of the portfolio is capital appreciation while maintaining a low level of risk. In Canada, the focus is on large capitalization issues, while in the U.S., the focus is on multinationals in industries that are not widely available in Canada, and therefore cyclical stocks tend to be avoided.

INVESTMENT COMMENTARY

Economic Review: In the third quarter, the global macroeconomic environment was characterized by continued, albeit steeper, downward move in both headline and core inflation.

Fixed income markets delivered strong absolute performance buoyed by supportive monetary measures in North America and the eurozone.

Global equity markets were strong, especially in sectors with attractive yield characteristics, as central banks reinforced the trajectory for easing monetary conditions.

Canadian Equity: The Canadian equity portfolio provided solid absolute returns but trailed the S&P/TSX Composite in the third quarter, largely due to a pullback in the portfolio's industrial companies (+2.7%). Crude oil has experienced significant volatility, driven by geopolitical unrest in the Middle East and OPEC's decision to extend production cuts. These pressures have been mitigated by continued growth in non-OPEC supply and weaker global demand, raising concerns that OPEC may unwind its production cuts. WTI declined 16% during the quarter and is down nearly 50% from its peak in mid-2022. If OPEC decides to lift its production, we would expect further volatility. Our underweight position in energy companies (+2.0%) and overweight position in TC Energy (+26%) were notable positive contributors during the quarter, more than offsetting the headwinds from the appreciation of gold (+14.3%). Gold has continued to benefit from central banks diversifying away from the U.S. dollar and consumer demand in markets such as India and China.

From a stock-specific basis in the third quarter, the top contributors to our relative stock performance were Brookfield Corp (+26%), Colliers International Group (+34%), and Gildan Activewear (+23%).

Brookfield is benefitting from lower global interest rate expectations, which have increased the probability of a "soft landing" globally. During the quarter, Brookfield also hosted an investor day, reiterating its long-term growth outlook and announcing a target of 17% compound annual growth in distributable earnings from 2024 to 2029, in line with its historical 18% annualized stock return over the past 30 years. Colliers delivered strong results across all segments this quarter. The stock's performance was further bolstered by the prospects of lower interest rates and improving market sentiment. Gildan reported significant market share gains by leveraging its low-cost advantage and introducing the most ground-breaking textile innovation in decades, which boosted margins and led to 17% earnings per share growth.

The primary detractors were AtkinsRéalis (-7%), Boyd Group Services (-20%), and CN Rail (-2%).

During the quarter, we increased the portfolio's bank exposure by adding a new position in EQB.

On a year-to-date basis, the Canadian equity portfolio underperformed the S&P/TSX Composite Index due to overweight positions in Industrials (+10.2%) and Information Technology (+12.9%).

U.S. Equity:

During the third quarter, the U.S. equity portfolio outperformed its benchmark, the S&P 500. Market leadership broadened as the initial excitement around artificial intelligence (AI) faded. With the Federal Reserve (Fed) indicating a potential easing cycle, rate-sensitive and cyclical sectors enjoyed the spotlight. Utilities (+17.8%), Real Estate (+15.7%), Industrials (+10.0%), and Financials (+9.3%) outperformed strongly, while Technology (+0.3%) and the tech-heavy Communications Services (+0.4%) lagged.

Two software companies stood out this quarter: Guidewire (+31%), which is enjoying accelerating revenue growth due to a strong product cycle, and Oracle (+19%) which is finding increased success with its cloud offerings. Additionally, the portfolio also continues to benefit from the earlier decision this year to initiate a position in the utility sector, driven by attractive valuations, improved growth, and potential increases in nuclear power prices. Public Service Enterprise Group (+20%) rose in the quarter as appreciation for its nuclear assets on the East Coast grew. These gains were partly offset by weaker performance in technology-focused holdings across different sectors, such as Alphabet (-10%) and Amazon.com (-5%), as well as Credit Acceptance Corp (15%), which experienced pressure on loan performance from a weaker low-end consumer.

During the quarter, we initiated a new position in Cadence Design Systems, a company that develops software for designing, testing, and manufacturing semiconductors, a market dominated by just three competitors. This high growth, high-margin business is attractive and is expected to remain so for years due to significant barriers to entry.

Year to date, the portfolio has narrowed its performance gap but is still underperforming in a very strong market. The decisive factor has been our decision to invest in AI through safer, more diversified infrastructure providers such as Amazon.com (+26%), Microsoft (+18%), and Alphabet (+22%), rather than the more volatile and exposed NVIDIA. NVIDIA alone was about a four-percentage point headwind to relative performance. However, this was partly offset by strong performance from other technology holdings, including Guidewire (+72%), Meta (+66%), and Oracle (+67%).

Investment Outlook: The prospects for medium-term growth now appear to have tilted towards higher rather than lower growth conditions, with various central banks fully engaged to support economic growth through accommodative conditions.

For fixed-income markets, attention has shifted to determine the impact on longer-term inflation expectations and term premium, given the decisive shift in policy response.

We continue to maintain a cautious outlook as valuations remain at elevated levels and continue to focus on identifying businesses with a reasonable margin of safety and positive long-term fundamentals.

Disclosure: The Bank of Nova Scotia (BNS) is the parent company of Jarislowsky, Fraser Limited. BNS securities held in the portfolio are related securities.

Investment manager overview

Jarislowsky Fraser is one of Canada's leading independent investment management firms. Founded in 1955 as a research boutique, Jarislowsky Fraser today manages the portfolios of pension funds, foundations and endowments, corporations and individuals in Canada, the United States and internationally. It has offices in Montreal, Toronto, Calgary, Vancouver and New York Ci. Its investment philosophy and low-risk approach are built on a foundation of time-tested conservative principles and more than 60 years of fundamental research. Its history and culture are rooted in investment stewardship, which is expressed through an adherence to high-quality investing, a long-term investment horizon and the advancement of good governance and sustainable investing.

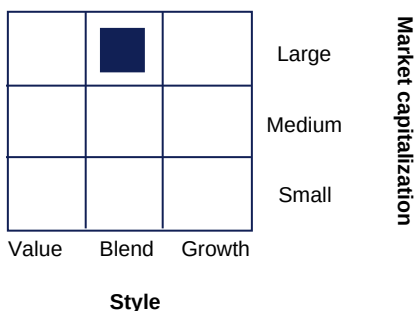
Investment philosophy

The firm's primary goal is to grow capital in a low-risk manner. Since its inception, Jarislowsky Fraser has adhered to the belief that superior long-term performance is achieved by investing in high-quality businesses with attractive earnings prospects and reasonable valuations. Its decisions are based on fundamental research, with an investment horizon of over five years. Equally, it believes that strong, ethical management teams and good governance practices invariably deliver excellent long-term performance. This investment approach has produced consistent returns through changing economic environments and has been particularly effective in minimizing the volatility prevalent in today's global markets.

Investment process and risk controls

The foundation of Jarislowsky Fraser's investment approach is an emphasis on in-house fundamental research, which provides the framework for risk management of equity and fixed income investments. Securities of companies that the firm believes to be speculative are avoided. Strict internal policy guidelines limit the maximum exposure allowed to any company or industry. Its bottom-up investment process focuses on firms that are regional or global leaders in their industries, and each investment candidate must meet four criteria to be considered for purchase: Competitive advantage; strong management; sustainable growth in earnings and cash flow and sound balance sheet; and reasonable valuations. The firm has an Investment Strategy Committee (ISC) that acts as a central risk and investment oversight body. Its main objective is to ensure continuity in the adherence to the firm's fundamental, low-risk investment philosophy and disciplined investment process. The ISC is the final level of oversight to ensure that proper due diligence was performed and that the investment thesis is sound prior to the addition or removal of a company from the approved list.

Equity style²



¹ GARP (Growth at a reasonable price)

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

The return data is as at September 30, 2024. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is 50% S&P/TSX Composite TR Index; 50% S&P 500 TR Index (CAD)

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited.

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